

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**RESPONDENT'S BRIEF IN REPLY TO COMPLAINANT'S OPPOSITION AND IN
FURTHER SUPPORT OF ITS MOTION TO DISMISS THE PRAYER FOR DAMAGES
AND SECOND AND THIRD CAUSES OF ACTION OF THE VERIFIED COMPLAINT**

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Respondent, The Port Authority of New York and New Jersey (the “Port Authority”), submits this reply pursuant to 46 C.F.R. § 502.70(c) and in further support of its motion to dismiss the prayer for damages and second and third causes of action of the verified complaint of Complainant, Port Elizabeth Terminal & Warehouse Corp. (“PETW”).

Preliminary Statement

In Point I of its opposition, PETW contends that its complaint satisfies the applicable requirements to state a cause of action under the Shipping Act. In Point II, PETW claims that pursuant to Rule 12(b)(6), it is inappropriate for the Commission to consider the documents contained in exhibits E through R of the Certification of Juan M. Barragan dated January 12, 2018 (“Barragan Cert.”). In Point III, PETW contends that it is premature to dismiss PETW’s prayer for reparations based upon its claim of undue or unreasonable preference because there are questions of fact as to when the cause of action accrued and whether there exists a continuing violation of the Shipping Act.

The Port Authority submits that PETW’s arguments are without merit because: 1) the Commission may consider the documents referenced in exhibits E, F, J, K, and L of the Barragan Cert. because they are integral to this action; 2) PETW’s prayer for reparations based upon its claim that it suffered undue or unreasonable prejudice should be dismissed because PETW did not commence this action within three years of its accrual and none of the exceptions that would toll or restart the statute of limitations apply; and, 3) PETW’s second and third causes of action for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations should be dismissed because they consist of legal conclusions and provide no factual support. Thus, these two causes of action fail to state a claim upon which relief can be granted.

Argument

Point I

The Commission may consider documents outside of the complaint in deciding this motion to dismiss because they are integral to the complaint.

In its opposition, PETW argues that it is inappropriate for the Commission to consider exhibits E through R of the Barragan Cert. because they are not part of PETW's complaint. Although PETW is correct that as a general matter, a district court ruling on a motion to dismiss may not consider matters extraneous to the pleading, numerous exceptions to this rule exist. Specifically, "[i]n deciding a Rule 12(b)(6) motion, the Court may consider the following materials: (1) facts alleged in the complaint and documents attached to it or incorporated in it by reference, (2) documents 'integral' to the complaint and relied upon in it, even if not attached or incorporated by reference, (3) documents or information contained in defendant's motion papers if plaintiff has knowledge or possession of the material and relied on it in framing the complaint, (4) public disclosure documents required by law to be, and that have been, filed with the Securities and Exchange Commission, and (5) facts of which judicial notice may properly be taken under Rule 201 of the Federal Rules of Evidence." *In re Merrill Lynch & Co., Inc.*, 273 F. Supp. 2d 351, 356-57 (S.D.N.Y. 2003), *aff'd sub nom., Lentell v. Merrill Lynch & Co.*, 396 F.3d 161 (2d Cir. 2005).

Courts have supported these exceptions with the rationale that "the primary problem raised by looking to documents outside the complaint – lack of notice to the plaintiff – is dissipated where plaintiff has actual notice . . . and has relied upon these documents in framing the complaint." *In re Burlington Coat Factory Securities Litigation*, 114 F.3d 1410, 1426 (3rd Cir. 1997) (quoting *Watterson v. Page*, 987 F.2d 1, 3-4 (1st Cir. 1993) (internal quotation marks omitted)).

In the instant matter, exhibits E, F, J, K, and L should be considered by the Commission in deciding the Port Authority's motion to dismiss because they are integral to this action. Exhibits E and F concern PNCT's expansion plan pursuant to the PNCT Agreement, which is the basis of the first cause of action of the complaint. Exhibits J, K, and L serve as proof of the numerous meetings between the Port Authority and PETW to deal and negotiate PETW's relocation and repayment of its debts; these documents refute PETW's claim that the Port Authority unreasonably refused to deal or negotiate.

Exhibit E of the Barragan Cert. consists of a copy of an article titled "Port Newark terminal lease deal to double volume." As evidenced by the bates number on the bottom right-hand side of the document, the news article was produced by PETW as part of its initial disclosures. *See* Barragan Cert. at Exhibit ("Ex.") E. The Commission should consider this article because it is integral to the complaint. This article discusses the terms of the June 14, 2011 agreement between the Port Authority and PNCT ("PNCT Agreement"), which is the basis of the first cause of action of the complaint.

In addition, the Commission can take judicial notice of the news article and consider it in deciding the Port Authority's motion to dismiss. *See In re Merrill Lynch & Co., Inc. Research Reports Sec. Litig.*, 289 F. Supp. 2d 416, 425 n. 15 (S.D.N.Y. 2003) (noting that the "Court may take judicial notice of newspaper articles for the fact of their publication without transforming the motion into one for summary judgment."); *see also Benak ex rel. All. Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d 396, 401 n. 15 (3d Cir. 2006) (noting that Courts may take judicial notice of newspaper articles "to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true."); *and see Von Saher v. Norton Simon Museum of Art at Pasadena*, 592 F.3d 954, 960 (9th Cir. 2010) (finding that "Courts may take judicial notice of

publications introduced to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.”).

Exhibit F of the Barragan Cert. is a copy of the July 20, 2011 letter from PETW’s President, Patrick J. Wynne, to the Port Authority’s deputy director of Port Commerce Department. In the July 20, 2011 letter, Mr. Wynne requests a meeting with representatives of the Port Authority to further discuss PETW’s plans to relocate its warehousing operations through the construction of new facilities because “[t]he announcement and publicity around the PNCT expansion, while a positive for the Port, has resulted in concerns on the part of our customers as to our future. Fortunately, at least one of the articles did mention that The Port Authority was working with us to find a new location.” *See* Barragan Cert. at Ex. F.

The July 20, 2011 letter is integral to this action because it addresses PNCT’s expansion plan pursuant to the PNCT Agreement, which is the basis of the complaint. As such, this letter can be considered by the Commission in deciding the instant motion. The July 20, 2011 letter also serves as proof of the widespread publicity, media coverage, and PETW’s actual knowledge of the existence of the PNCT Agreement.

Exhibits J and K of the Barragan Cert. are emails scheduling meetings between the Port Authority and PETW. Exhibit L of the Barragan Cert. is a copy of the March 29, 2017 letter from PETW’s president thanking Port Authority representatives for meeting with him on March 28, 2017. Exhibits J, K, and L of the Barragan Cert. are integral to this action because they refute PETW’s claim that the Port Authority unreasonably refused to deal or negotiate. These documents serve as evidence that representatives from the Port Authority and PETW met on numerous occasions to deal and negotiate over PETW’s relocation and repayment of its debts.

For the foregoing reasons, the Port Authority submits that it is appropriate for the Commission to consider exhibits D, E, J, K, and L of the Barragan Cert. in deciding the present motion.

Point II

PETW's prayer for reparations based upon its claim of undue or unreasonable preference should be dismissed because this action was not commenced within three years of its accrual and the continuing violation rule does not apply.

PETW's prayer for reparations based upon its claim that it suffered undue or unreasonable prejudice because the Port Authority offered PNCT more favorable lease terms than those offered to PETW should be dismissed; PETW did not commence this action within three years of its accrual and none of the exceptions that would toll or restart the statute of limitations applies.

A. PETW's cause of action for undue or unreasonable preference accrued on the date the Port Authority and PNCT entered into the agreement that PETW claims contained unduly preferential terms.

"The Commission has adopted what is called the 'discovery rule' to determine when a cause of action accrues under the Shipping Act." *Maier Terminals v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2011 WL 7144003, at *11 (F.M.C. May 16, 2011). Under the discovery rule, a complainant's cause of action accrues when it knows or should know that it has a case against a respondent. *Id.* Thus, a complainant may seek reparations "if the complaint is filed [with the Federal Maritime Commission] within 3 years after the claim accrues...." 46 U.S.C. § 41301(a).

A 46 U.S.C. § 41106(2) cause of action based upon a claim of undue or unreasonable preference accrues on the date the lease or agreement with the unduly preferential terms is entered into. *See Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 08-03, 2013 WL 9808667, at *7 (F.M.C. Jan. 31, 2013).

In the instant matter, PETW claims that it suffered undue or unreasonable prejudice because the Port Authority offered PNCT more favorable lease terms than those the Port Authority offered to PETW. *See* Barragan Cert. at Ex. A, p. 6, ¶ W. As such, PETW's cause of action for undue or unreasonable preference accrued on the date the Port Authority and PNCT entered into the PNCT Agreement (June 14, 2011) because this is the date that PETW should have known of its existence. *See* Barragan Cert. at Ex. D. In order to seek reparations, PETW was required to file this action within three years of its accrual or by June 14, 2014. As PETW failed to file this action until July 21, 2017, the claim for reparations for undue or unreasonable preference should be dismissed.

In the event the Commission finds that the cause of action did not accrue until PETW actually knew of the existence of the PNCT Agreement, PETW's action would have accrued on July 20, 2011, the date that PETW's president acknowledged in writing that he was aware of the PNCT Agreement and the publicity surrounding the deal, which included the publication of numerous news articles. *See* Barragan Cert. at Ex. F. In fact, in the July 20, 2011 letter, PETW's president admits that "at least one of the articles [about the PNCT Agreement] did mention that The Port Authority was working with us to find a new location." *See* Barragan Cert. at Ex. F. If this is the case, PETW had to file its complaint by July 20, 2014. However, this action was not commenced until July 21, 2017. *See* Barragan Cert. at Ex. A. Accordingly, the Commission should dismiss PETW's prayer for reparations based upon its claim of undue or unreasonable preference.

B. The differences between the Port Authority's leases with PETW and PNCT do not establish a continuing violation for statute of limitation purposes.

The continuing violation rule "permits a cause of action to accrue whenever the wrongdoer commits an overt act in furtherance of an antitrust conspiracy or, in the absence thereof, commits

an act that by its very nature is a continuing antitrust violation.” *Maier Terminals*, 2011 WL 7144003, at *30 (quoting *Kaiser Aluminum & Chemical Sales, Inc. v. Avondale Shipyards, Inc.*, 677 F.2d 1045, 1051 (5th Cir. 1982)). In other words, “[w]hen a continuing violation occurs, the statute of limitations runs from the commission of the act that causes the plaintiff’s damage.” *Z Techs. Corp. v. Lubrizol Corp.*, 753 F.3d 594, 598 (6th Cir. 2014) (quoting *Peck v. Gen. Motors Corp.*, 894 F.2d 844, 849 (6th Cir. 1990) (internal quotation marks omitted)).

A continuing violation is one in which the plaintiff’s interests are repeatedly invaded. *Maier Terminals*, 2011 WL 7144003, at *30. “For statute of limitations purposes, ... the focus is on the timing of the causes of injury, i.e., the defendant’s overt acts, as opposed to the effects of the overt acts.” *Id.* (quoting *DXS, Inc. v. Siemens Medical Systems, Inc.*, 100 F.3d 462, 467 (6th Cir. 1996)). “An overt act has two elements: (1) it must be a new and independent act that is not merely a reaffirmation of a previous act, and (2) it must inflict new and accumulating injury on the plaintiff.” *Maier Terminals*, 2011 WL 7144003, at *30 (quoting *Pace Indus., Inc. v. Three Phoenix Co.*, 813 F.2d 234, 238 (9th Cir. 1987)). However, “the commission of a separate new overt act generally does not permit the plaintiff to recover for the injury caused by old overt acts outside the limitations period.” *Klehr v. A.O. Smith Corp.*, 521 U.S. 179, 189 (1997).

“Performance of the alleged anticompetitive contracts during the limitations period is not sufficient to restart the period.” *Maier Terminals*, 2011 WL 7144003, at *30 (citing *Eichman v. Fotomat Corp.*, 880 F.2d 149, 160 (9th Cir. 1989)); *Ward v. Caulk*, 650 F.2d 1144, 1147 (9th Cir. 1981) (holding that a “continuing violation is occasioned by continual unlawful acts, not by continual ill effects from an original violation.”).

In the instant matter, the first cause of action of the complaint claims that PETW suffered undue or unreasonable prejudice because the Port Authority granted PNCT more favorable lease

terms than those offered to PETW in Lease No. LPN-297. *See* Barragan Cert. at Ex. A, p. 6, ¶ W. Specifically, PETW claims it suffered undue or unreasonable prejudice because it “was never provided an opportunity to negotiate for the ‘added premises’ PANYNJ agreed to provide to PNCT notwithstanding the fact that PANYNJ leased property to the Port Elizabeth Terminal & Warehouse Corp.” *See* Barragan Cert. at Ex. A, p. 6, ¶ X. As a result, PETW claims that it has suffered unreasonable prejudice or been placed at a disadvantage. *See* Barragan Cert. at Ex. A, p. 6, ¶ V. In essence, PETW’s is claiming damages resulting from the allegedly unlawful agreement between the Port Authority and PNCT.

As set forth above, the continuing violation does not apply to a party’s performance of an unlawful contract or from the continual ill effects being suffered by the complainant from the performance of an unlawful contract. *See Maher Terminals*, 2011 WL 7144003, at *30; *Eichman*, 880 F.2d at 160; *Ward*, 650 F.2d at 1147. As such, the continuing violation rule does not apply in this action.

Moreover, PETW cannot claim that its rights are being continually violated because the cause of PETW’s alleged injuries is that it was placed at an unreasonable disadvantage by “never [being] provided an opportunity to negotiate for the ‘added premises’ PANYNJ agreed to provide to PNCT” in the PNCT Agreement. *See* Barragan Cert. at Ex. A, p. 6, ¶ X; *Mahe Terminals*, 2011 WL 7144003, at *30 (noting that “[f]or statute of limitations purposes, ... the focus is on the timing of the causes of injury, i.e., the defendant’s overt acts, as opposed to the effects of the overt acts.”).

Even if the Commission is inclined to find that the complaint alleges a continuing violation, PETW would not be able to recover for the damages it claims were caused by the unlawful contract between the Port Authority and PNCT. *See Klehr*, 521 U.S. at 189 (finding that “the commission

of a separate new overt act generally does not permit the plaintiff to recover for the injury caused by old overt acts outside the limitations period.”).

For the foregoing reasons, the Port Authority respectfully requests that PETW’s prayer for reparations based upon its claim of undue or unreasonable preference be dismissed as this action was not commenced within three years of its accrual and the continuing violation rule does not apply.

Point III

PETW’s second and third causes of action for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations should be dismissed because they consist of legal conclusions and provide no factual support.

PETW’s opposition does nothing to refute the reality that its complaint fails to state a claim under the Shipping Act for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations. Even if all of the allegations contained in PETW’s complaint are considered as a whole, PETW fails to state a claim upon which relief can be granted because the complaint consists of legal conclusions, disguised as factual allegations.

A. PETW’s complaint does not sufficiently plead facts required to establish a claim that the Port Authority unreasonably refused to deal or negotiate.

PETW ignores well-settled law that the FMC will not “accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint...[or] accept legal conclusions cast in the form of factual allegations.” *Cornell v. Princess Cruise Lines, Ltd.*, FMC Docket No. 13-02, 2014 WL 5316340, at *7 (F.M.C. Aug. 28, 2014). PETW seems to argue that because the Port Authority refuses “to make any commitments whatsoever regarding its plans for [PETW]’s continued operations at Port Newark[,]” it is in violation of the law. *See Barragan Cert.* at Ex. A, p. 9, ¶ NN. However, the Port Authority’s decision not to make any commitments

regarding PETW's continued operations in Port Newark does not equate to a refusal to deal or negotiate.

The FMC has held that "the [Shipping] Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA [Ocean Shipping Reform Act]. All that is required is that common carriers... refrain from "shutting out" any person for reasons having no relation to legitimate transportation-related factors." *Global Link Logistics v. Hapag-Lloyd*, FMC Docket No. 13-07, 2014 WL 5316345 (F.M.C. Apr. 17, 2014).

PETW's complaint concedes that the Port Authority met with its officials on numerous occasions from 2011 to 2017 to attempt to reach an agreement. Further, there were additional meetings that took place between the Port Authority representatives and PETW on October 20, 2016, November 30, 2016, and March 28, 2017. *See* Barragan Cert. at Ex. J, K, and L. Whether or not those meetings resulted in a deal between the Port Authority and PETW should not factor in this Commission's consideration of whether a *prima facie* case of unreasonable refusal to deal or negotiate has been pled. Taking the facts alleged in the complaint as true, PETW has not established an unreasonable refusal to deal or negotiate and, as such, the second cause of action of PETW's complaint should be dismissed with prejudice.

B. PETW's complaint fails to state a claim that the Port Authority failed to establish, observe, and enforce just and reasonable regulations because bare assertions of legal conclusions are not sufficient to survive a motion to dismiss for failure to state a claim.

In its opposition, PETW does not address the Port Authority's argument that PETW is unable to establish a *prima facie* case that the Port Authority failed to establish, observe, and enforce just and reasonable regulations because the complaint fails to plead any facts to state a

claim for relief that is plausible on its face. Instead, PETW cites to the legal conclusions it made in its complaint and asks the Commission to accept them as true.

“Threadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555 (2007) (noting that although for the purposes of a motion to dismiss the court must take all of the factual allegations in the complaint as true, the court is “not bound to accept as true a legal conclusion couched as a factual allegation.”). “[A] court considering a motion to dismiss can choose to begin by identifying pleadings that, because they are no more than conclusions, are not entitled to the assumption of truth.” *Iqbal*, 556 U.S. at 679.

A “[c]omplainant’s conclusory legal statements, such as ‘just and reasonable,’ provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim.” *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, FMC Docket No. 12-02, 2015 WL 435475, at *10 (F.M.C. Jan. 30, 2015).

PETW’s complaint fails to provide any details describing how the Port Authority has failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. The complaint does not even mention which regulations or practices the Port Authority failed to uphold. Therefore, under the standards set forth by the Supreme Court in *Twombly* and *Iqbal* and the law thoroughly cited in the Port Authority’s brief in support of its motion to dismiss, the Port Authority respectfully submits that PETW has failed to state a claim for relief that is plausible on its face and dismissal with prejudice of the third cause of action is warranted.

Conclusion

For the foregoing reasons and those set forth in the Port Authority's brief, it is respectfully requested that PETW's prayer for damages and the second and third causes of action be dismissed.

PORT AUTHORITY LAW DEPARTMENT
*Attorneys for The Port Authority of New York
and New Jersey*

By: _____

Juan M. Barragan

Dated: February 5, 2018

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT
v.
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT

AFFIDAVIT OF SERVICE

Tyler L. Hinton, being duly sworn, deposes and says:

That I am a Law Intern in The Port Authority of New York and New Jersey Law Department, am over the age of eighteen (18) years, am not a party to this action and have an office address at 4 World Trade Center, 150 Greenwich Street, New York, New York.

That on the 5th day of February 2018, I served the annexed **RESPONDENT'S BRIEF IN REPLY TO COMPLAINANT'S OPPOSITION AND IN FURTHER SUPPORT OF ITS MOTION TO DISMISS THE PRAYER FOR DAMAGES AND SECOND AND THIRD CAUSES OF ACTION OF THE VERIFIED COMPLAINT** upon:

Law Offices of Donald F. Burke
45 Gale Road
Brick, New Jersey 08723
Attn: Donald F. Burke, Esq.

LaRoe, Winn, Moerman & Donovan
1250 Connecticut Avenue North West, Suite 200
Washington, DC 20036
Attn: Paul M. Donovan, Esq.

by depositing a true copy thereof in a sealed wrapper, in a depository maintained by FedEx to be shipped via FedEx Overnight Service at 4 World Trade Center, 150 Greenwich Street, 24th Floor, New York, New York 10007.

Sworn to before me this
5th day of February 2018.



Notary Public



Natalie D. Russell
NOTARY PUBLIC, State of New York
No. 01RU6358214
Qualified in New York County
Commission Expires May 8, 2021

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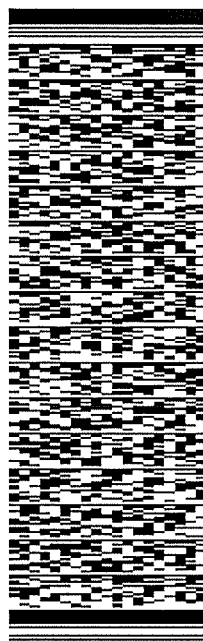
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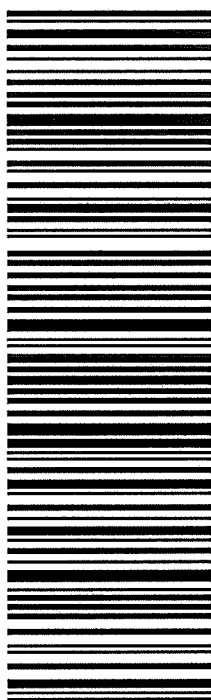
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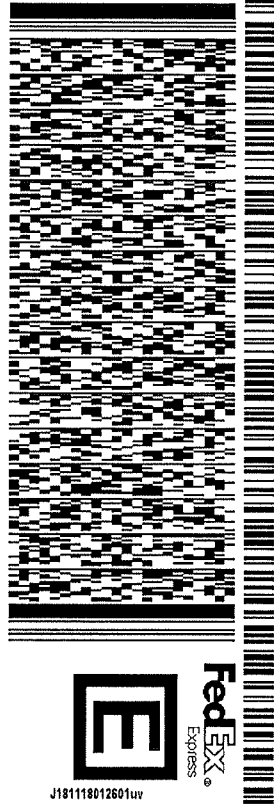
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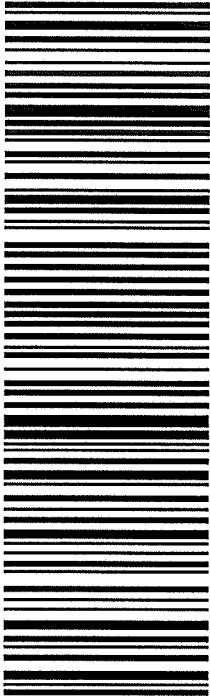


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TRK# 7714 0822 7109
 0201

TUE - 06 FEB 3:00P
 STANDARD OVERNIGHT

EP BZSA
 DC-US IAD 20036



After printing this label:

1. Use the 'Print' button on this page to print your label to your laser or inkjet printer.
2. Fold the printed page along the horizontal line.
3. Place label in shipping pouch and affix it to your shipment so that the barcode portion of the label can be read and scanned.

Warning: Use only the printed original label for shipping. Using a photocopy of this label for shipping purposes is fraudulent and could result in additional billing charges, along with the cancellation of your FedEx account number.

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